

		threshold question . . . effectively concedes that issue and renders its remaining arguments moot”]; <i>Glendale Redevelopment Agency v. Parks</i> (1993) 18 Cal.App.4th 1409, 1424 [finding an issue is impliedly conceded by failing to address it].) The court deems Plaintiffs’ failure to oppose the demurrer to be a concession regarding the merits of Defendant Wagner’s demurrer and on that basis, will sustain the demurrer. Should Plaintiff desire to file an amended complaint that addresses the issues identified in Defendant Wagner’s demurrer, Plaintiff shall file and serve the amended complaint within 30 days of service of the notice of ruling. Moving Defendant is ordered to give notice.
4	Melnykov vs. Hyundai Motor America	TENTATIVE RULING: <u>Motion to Compel Arbitration</u> Defendant Hyundai Motor America moves to compel Plaintiff Ivan Melnykov to arbitrate the claims asserted in the Complaint and to stay this matter pending completion of arbitration. For the following reasons, the motion is DENIED. Defendant’s request for judicial notice is GRANTED. (Evid. Code § 452(d).) This motion is based on two separate arbitration agreements. First, the motion seeks to compel arbitration based on an arbitration provision contained in the Hyundai “2022 Owner’s Handbook & Warranty Information” (“Owner’s handbook” or “Handbook”). Second, the motion seeks to compel arbitration based on an arbitration provision contained in a Hyundai Bluelink “Connected Services Agreement Terms and Conditions” (“CSA”). As further explained below, defendant has failed to demonstrate plaintiff’s notice of or assent to the arbitration agreement in the owner’s handbook and has therefore failed to establish the existence of this agreement. As for the arbitration provision in the CSA, the scope of this provision does not cover plaintiff’s claims in this action. Each arbitration provision is addressed in turn below. <u>Owner’s Handbook and Warranty Information</u> Defendant’s motion is based in part on the arbitration agreement in the Owner’s Handbook, typically found in the glove compartment of

a vehicle. This Handbook provides certain owner information and sets forth the details of Hyundai’s express warranty. (See Ameripour Dec., Ex. 3 [Handbook excerpts, including arbitration agreement at pp. 12-14].)

The Handbook sets forth an arbitration agreement at pages 12-14, broadly requiring binding arbitration (for California vehicles) of any and all claims between plaintiff and Hyundai related to or arising out of the vehicle purchase, use or performance of the vehicle, or the vehicle warranty—with the exception of personal injury claims, Magnuson-Moss Warranty Act claims, and claims falling within the jurisdiction of the small claims court—through the American Arbitration Association (AAA) under its Consumer Arbitration Rules. (Ameripour Dec, Ex. 3 [Handbook, pp. 12-14].) There is no signature or signature line to indicate assent. Instead, the arbitration agreement states that plaintiff’s mere use of the vehicle indicates his assent. (Id.) Specifically, the last paragraph of the arbitration agreement reads:

IF YOU PURCHASED OR LEASED YOUR VEHICLE IN CALIFORNIA, YOUR WARRANTY IS MADE SUBJECT TO THE TERMS OF THIS BINDING ARBITRATION PROVISION. BY USING THE VEHICLE, OR REQUESTING OR ACCEPTING BENEFITS UNDER THIS WARRANTY, INCLUDING HAVING ANY REPAIRS PERFORMED UNDER WARRANTY, YOU AGREE TO BE BOUND BY THESE TERMS. IF YOU DO NOT AGREE WITH THESE TERMS, PLEASE CONTACT US AT OPT-OUT@HMAUSA.COM WITHIN THIRTY (30) DAYS OF YOUR PURCHASE OR LEASE TO OPT-OUT OF THIS ARBITRATION PROVISION.

(Ameripour Dec., Ex. 3 [Handbook, p. 14].)

The arbitration agreement also states that it “shall be governed by the Federal Arbitration Act, 9 U.S.C. §§ 1-16.” (See Ameripour Dec. at Ex. 3 [Handbook, p. 14].) As such, both the procedural and substantive provisions of the FAA apply. (See *Victrola 89, LLC v. Jaman Properties 8 LLC* (2020) 46 Cal.App.5th 337, 345-346 [where arbitration agreement states its enforcement is “governed by the [FAA],” both the procedural and substantive provisions of FAA apply].)

Under the FAA, the court must compel arbitration of claims covered by an enforceable arbitration agreement. (9 U.S.C. § 3.) The party seeking to compel arbitration has the burden of proving the existence of an agreement to arbitrate by a preponderance of the evidence.

(*Johnson v. Walmart Inc.* (9th Cir. 2023) 57 F.4th 677, 681 (*Johnson*).)

Importantly, “ ‘while doubts concerning the scope of an arbitration clause should be resolved in favor of arbitration, the presumption does not apply to disputes concerning whether an agreement to arbitrate has been made.’ [Citations.]” (*Johnson, supra*, 57 F.4th at pp. 680-681.) “ ‘[A]rbitration is strictly a matter of consent ... and thus is a way to resolve those disputes—but only those disputes—that the parties have agreed to submit to arbitration.’ [Citation.]” (*Id.* at p. 681; accord, *Coinbase, Inc. v. Suski* (2024) 602 U.S. 143, 148.) “As ‘arbitration is a matter of contract[,] ... a party cannot be required to submit to arbitration any dispute which he has not agreed so to submit.’ [Citations.]” (*Johnson*, at p. 681.)

To determine whether the parties have agreed to arbitrate a dispute, federal courts apply state-law principles of contract formation. (*Berman v. Freedom Financial Network, LLC* (9th Cir. 2022) 30 F.4th 849, 855.)

To form a contract under California law, there must be mutual assent. (*Herzog v. Superior Court* (2024) 101 Cal.App.5th 1280, 1293-1294 (*Herzog*); *Long v. Provide Commerce, Inc.* (2016) 245 Cal.App.4th 855, 862 (*Long*).) “ ‘ “[M]utual manifestation of assent, whether by written or spoken word or by conduct, is the touchstone of contract.” ’ [Citation.]” (*Long*, at p. 862.)

“ ‘Mutual assent is determined under an objective standard applied to the outward manifestations or expressions of the parties, i.e., the reasonable meaning of their words and acts, and not their unexpressed intentions or understandings. The parties’ outward manifestations must show that the parties all agreed ‘upon the same thing in the same sense.’ If there is no evidence establishing a manifestation of assent to the ‘same thing’ by both parties, then there is no mutual consent to contract and no contract formation.” (*Herzog*, at pp. 1293-1294.)

The recent authorities discussing the formation of a contract in the online context are relevant here because the subject arbitration agreement in the handbook does not require a signature to manifest assent, but rather, states that the vehicle owner manifests consent to the agreement merely by using the vehicle, much like many website arbitration agreements. (See *Ameripour Dec.* at Ex. 3 [Handbook, p. 14].)

To be sure, signing an arbitration agreement is one manner of manifesting consent (see *Binder v. Aetna Life Ins. Co.* (1999) 75 Cal.App.4th 832, 850), but it is not the only manner. “ ‘[I]t is not the presence or absence of a *signature* which is dispositive; it is the presence or absence of evidence of an *agreement* to arbitrate which matters.’ [Citation.] Evidence confirming the existence of an agreement to arbitrate, despite an unsigned agreement, can be based, for example, on ‘conduct from which one could imply either ratification or implied acceptance of such a provision.’ ” (*Serafin v. Balco Properties Ltd., LLC* (2015) 235 Cal.App.4th 165, 176.) For example, “[w]hen an employee continues his or her employment after notification that an agreement to arbitration is a condition of continued employment, that employee has impliedly consented to the arbitration agreement.” (*Diaz v. Sohnen Enterprises* (2019) 34 Cal.App.5th 126, 130.)

Assent, however, requires notice. (*B.D. v. Blizzard Entertainment, Inc.* (2022) 76 Cal.App.5th 931, 944 (*Blizzard*); *Stover v. Experian Holdings, Inc.* (9th Cir. 2020) 978 F.3d 1082, 1086 [“notice—actual, inquiry, or constructive—is the touchstone for assent to a contract”]; see *Herzog, supra*, 101 Cal.App.5th at pp. 1293-1294; *Weeks v. Interactive Life Forms, LLC* (2024) 100 Cal.App.5th 1077, 1089.) “[I]n the absence of actual notice, a manifestation of assent may be inferred from the consumer’s actions ... but any such action must indicate the parties’ assent to the *same thing*, which occurs only when the [provider] puts the consumer on constructive notice of the contractual terms.” (*Sellers v. JustAnswer LLC* (2021) 73 Cal.App.5th 444, 461 (*Sellers*); accord, *Herzog*, at p. 1294.)

“[W]hether the terms appear on a physical piece of paper or a computer screen, ‘California law is clear—“an offeree, regardless of apparent manifestation of his consent, is not bound by inconspicuous contractual provisions of which he was unaware, contained in a document whose contractual nature is not obvious.” ’ [Citation.]” (*Sellers, supra*, 73 Cal.App.5th at p. 461; accord, *Herzog, supra*, 101 Cal.App.5th at pp. 1293-1294; *Long, supra*, 245 Cal.App.4th at p. 862.)

Here, nothing shows Hyundai put Plaintiff on notice of the arbitration agreement within the approximately 46-page “Owner’s Handbook and Warranty Information” booklet prior to plaintiff’s purchase of the vehicle, and nothing from its cover suggests it contains an arbitration agreement to which plaintiff’s assent will be deemed merely by driving the vehicle off the lot. (See *Ameripour* Dec. at Ex. 3.) The fact that the arbitration agreement appears in the “*owner’s handbook*” indicates plaintiff would have had no reason to discover it until

	sometime after he had already become the “owner” of the vehicle and unwittingly assented to the agreement by driving it; and nothing suggests plaintiff would have had reason to reference the “warranty information” booklet within the first 30 days of ownership, such that he should have discovered the arbitration agreement in time to opt out. Without any such notice, there can be no assent. (<i>B.D. v. Blizzard Entertainment, Inc.</i>, <i>supra</i>, 76 Cal.App.5th at p. 944; <i>Stover v. Experian Holdings, Inc.</i>, <i>supra</i>, 978 F.3d at p. 1086 [“notice—actual, inquiry, or constructive—is the touchstone for assent to a contract”]; <i>Herzog</i>, <i>supra</i>, 101 Cal.App.5th at pp. 1293-1294; <i>Weeks v. Interactive Life Forms, LLC</i>, <i>supra</i>, 100 Cal.App.5th at p. 1089.) Defendant has therefore failed to demonstrate plaintiff’s assent to the arbitration agreement. Defendant contends plaintiff is nevertheless equitably estopped from denying the existence of the arbitration agreement because he relies on the warranty in the handbook as a basis for his claims. In the arbitration context, “[w]hen a plaintiff brings a claim which relies on contract terms against a defendant, the plaintiff may be equitably estopped from repudiating the arbitration clause contained in that agreement.” (<i>JSM Tuscany, LLC v. Superior Court</i> (2011) 193 Cal.App.4th 1222, 1239.) “The rule applies to prevent parties from trifling with their contractual obligations.” (<i>Turtle Ridge Media Group, Inc. v. Pacific Bell Directory</i> (2006) 140 Cal.App.4th 828, 833.) The problem with defendant’s reliance on equitable estoppel is twofold. First, it conflates a “warranty” with a “contract,” both of which are legal terms of art, and not necessarily the same. Equitable estoppel requires the existence of a “<u>contract</u>.” (See, e.g., <i>Soltero v. Precise Distribution, Inc.</i> (2024) 102 Cal.App.5th 887, 893 [sine qua non of equitable estoppel is plaintiff’s actual dependence on the underlying contract].) A contract is an agreement that requires mutual assent and consideration. (Civ. Code, § 1550 [contract elements; mutual assent and consideration are “essential to the existence of a contract”]; <i>Aton Center, Inc. v. United Healthcare Ins. Co.</i> (2023) 93 Cal.App.5th 1214, 1231 [“ ‘the vital elements of a cause of action based on contract are mutual assent (usually accomplished through the medium of an offer and acceptance) and consideration’ ”].) An express warranty is an assurance of a product’s utility and performance that accompanies its purchase and, unlike a “contract,” does not require mutual assent. (See Civ. Code, § 1791.2, subd. (a) [“
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‘Express warranty’ means: (1) A written statement arising out of a sale to the consumer of a consumer good pursuant to which the manufacturer, distributor, or retailer undertakes to preserve or maintain the utility or performance of the consumer good or provide compensation if there is a failure in utility or performance; or (2) In the event of any sample or model, that the whole of the goods conforms to such sample or model.”]; *Ford Motor Warranty Cases* (2025) 17 Cal.5th 1122, 1134 [“Express warranties may arise from sources outside a ... contract, including statements in a manufacturer’s brochure...”]; see also *Gavaldon v. DaimlerChrysler Corp.* (2004) 32 Cal.4th 1246, 1258-1259 [holding service contracts and express warranties are mutually exclusive, explaining “an express warranty” is “part of the purchase of a consumer product, and a representation of the fitness of that product,” whereas the purchase of a service contract is distinct from the purchase of the product itself].)

Defendant assumes the warranty in the handbook constitutes a “contract” in the traditional sense, as opposed to just an assurance of the vehicle’s utility and performance accompanying its purchase. The mere fact that defendant provided an express warranty guaranteeing the performance of the vehicle does not necessarily mean the parties executed a “contract” by which they “mutually” agreed to certain obligations—particularly those independent from and unrelated to the fitness of the product—that plaintiff is now attempting to disclaim, which is the situation that equitable estoppel is meant to address. (See *Ford Motor Warranty Cases*, *supra*, 317 Cal.5th at p. 1136 [with equitable estoppel, “the essential concern is whether plaintiffs are trying to enforce contractual terms beneficial to them while avoiding their own contractual agreement to arbitrate”].) Having failed to show to the warranty constitutes a “contract” to which plaintiff has mutually agreed in the first place, defendant has failed to show he should be equitably estopped from avoiding the arbitration agreement therein. (See *Goldman v. KPMG, LLP* (2009) 173 Cal.App.4th 209, 220 [“ ‘[t]he linchpin for equitable estoppel is equity—fairness’ ”].)

Further, even if Defendant had established that the warranty was a “contract,” which it has not, equitable estoppel does not apply because plaintiff’s claims do not rely on the substantive terms of the subject warranty; they rely on obligations outside the warranty imposed by statute or common law. “[U]nless a party to an arbitration agreement has used the substantive terms of that agreement as the foundation for his claims..., there is no reason in equity why he should be forced to arbitrate his claims....” (*Ford Motor Warranty Cases*, *supra*, 17 Cal.5th at p. 1137.) “It is not enough that the complaint ... includes claims that ‘presum[e] the